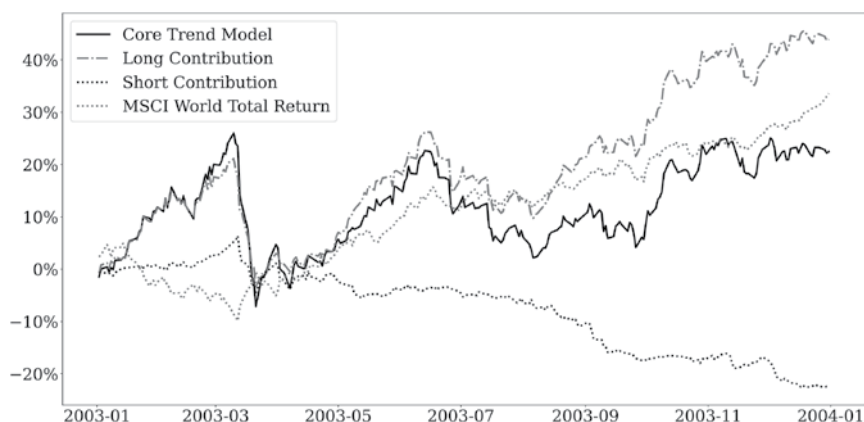




**FIGURE 6.8** Strategy performance 2003.

the market. While a novice trader might focus on the performance, the experienced trader would wonder about that drop.

The strategy did end up quite well, with trading gains before costs nearly as high as last year. If you're new to the managed futures space, or the hedge fund space for that matter, you're in for an interesting surprise at the end of this year. Last year you were the big hero, returning nearly 25% while the stock markets were tanking. This year, you finish at about the same performance numbers, and it would be reasonable to expect the same hero's treatment, victory parades, and all. But that won't happen.

The difference is that this year, the stock markets rallied. Our strategy more or less kept up with the markets, but that was before cost. After you get paid your management and performance fees, you'll be behind. You will have yielded less this year than the stock markets.

Why would that matter? You don't buy and hold stocks, and you never claimed to return more money during bull markets. None of that matters in reality, and your customers may very well be upset that you supposedly underperformed. Nobody said life is supposed to be fair. But you do get paid, and quite well to boot. But I'm sure you're wondering what happened with that big scary drop. We started the year so well, and by the start of March we already had 30% profit. That's an amazing start of the year. After such an extreme start, most of us start making the mistake of calculating what the year would end like if we continue on that path, making 30% a quarter and what that would mean for your performance fees. We've all been there.